

ANUK PUBLIC SECTOR ACCOUNTING & FINANCE JOURNAL

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EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

COLLEGE OF PUBLIC SECTOR ACCOUNTING
ANUK Public Sector Accounting and Finance Journal (APSAFJ)

THE OBJECTIVE OF THE JOURNAL

To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

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The standard format for content is as follows;

1. Introduction

2. Statement of Research Problem

3. Research Hypotheses or Objectives

*Review of Related Literature

4. Data Presentation & Analysis

5. Research Findings & Discussion of Findings

6. Conclusion, Recommendation & Policy Implication

7. References

8. Appendices

Or

1. **Indroduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

2.0. Literature Review

2.1 Conceptual Review

2.2 Empirical Review

2.3 Theoretical Review'

3.0 Methodology

3.1 Research Design

3.2 Population sample size and sampling

techniques

3.3 Analytical Tools

3.4 Model Specification

4.0 Data Presentation & Analysis

4.1 Data Presentation

4.2 Analysis & Findings

4.3 Discussion of Findings

5.0 Conclusion

5.1 Recommendations & Policy

Implication

References

Appedices

TABLE OF CONTENTS

1. Effect Of Tax Administration Efficiency On Tax Compliance Among Small And Medium Scale Enterprises In North Central Of Nigeria	1
Abubakar Lamino Muhammad.....	
2. Effect Of Taxation On Income Distribution In Nigeria	8
Fatima Talbot And Tamunonimim A. Ngerebo-A.....	
3. Tax Policy And Fiscal Sustainability In Nigeria	31
Ibrahim Luka Tumba.....	
4. Effect Of Tetfund Intervention On Research And Development In Nigerian Tertiary Institutions	43
Ihemelandu Constance Obiageri.....	
5. Effect Of International Public Sector Accounting Standards Adoption On Financial Reporting Quality In Lagos State Ministries.	57
Aohn Achua, Ph.d & Joseph Femi Adebisi.....	
6. Moderating Effect Of Company Income Tax On The Relationship Between Capital Structure And Financial Performance Of Listed Multinational Companies In Nigeria	81
Christopher David Mbatuegwu, Benjamin Uyagu David, & Daninya Michael Zeinaba.....	
7. Effect Of Tax Gaps On Tax Inclusiveness Sustainability In Nigeria	94
Simon Nwanmaghyi Kato.....	
8. Impact Of Harmonization And Codification Of Taxes On Tax Compliance And Revenue Generation In Nigeria	105
Umenwosu Collins Obumneme.....	
9. Treasury Single Account: Implementation, Prospect And Challenges In Jigawa State Of Nigeria	113
Abdulhayatu Sarki Suleiman.....	
10. Effect Of Public Debt Exposure On Fiscal Sustainability Of Nigeria	121
Jamilu Ibrahim Mohammed.....	
11. Energy Price Volatility And Financial Market Efficiency In Nigeria	138
Dr. Anderson Emmanuel Oriakpono.....	
12. Bidirectional Effects Of Disruptive Fintech Investment On Deposit Money Banks' Subscription-Based Models In Nigeria	150
Dr. Anderson Emmanuel Oriakpono and Esther Dagwannah.....	
13. Macroeconomic Risk Implosion On Mitigation Strategies For Development Recovery In Wamz Member States	163
Prof. Tamunonimim NGEREBO-A & Dr. Anderson Emmanuel Oriakpono.....	

EFFECT OF TAXATION ON INCOME DISTRIBUTION IN NIGERIA

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Abstract

This study investigated the effect of taxation (proxied by company income tax, petroleum profit and value added tax) on income distribution (proxied by gini coefficient) in Nigeria. Secondary data were obtained from Central Bank Statistical Bulletin, Federal Inland Revenue Service Reports and World Bank Reports (various years). The study adopted the use of ordinary least square regression to test the hypotheses formulated for the study with the aid of E-view 13 econometric statistical software. The study concluded that taxation has significant effect on income distribution in Nigeria, since company income tax, petroleum profit and value added tax have positive and significant effect jointly on gini coefficient in Nigeria. The study recommends among others that progressive taxation can help to reduce income inequality in Nigeria by levying higher tax rates on the wealthy, lower rates on the poor, and implementation of minimum tax. The government can provide tax incentives such as exemptions or credits to support low-income earners. Improving tax administration is crucial for improving income distribution in Nigeria by increasing compliance and revenue collection. Government should improve tax education and awareness programmes to promote voluntary tax compliance and reduce tax evasion. The government can use tax revenue to reduce poverty and promote social welfare in Nigeria by funding social safety nets such as cash transfers, social insurance programs, and public services. A collaborative approach involving all stakeholders is necessary to ensure that tax policies promote income distribution in Nigeria. The government can improve income distribution in Nigeria by implementing tax reforms that address current challenges in the tax system. Transparency and accountability in tax administration can be promoted by publishing regular reports on tax revenue collection and expenditure.

Keywords: Taxation , Income Distribution, Income Inequality.

INTRODUCTION

Income inequality is a global phenomenon, and there is no place where there is perfect income equality or perfectly income inequality. Income inequality must exist as long as labour or the deployment of effort, or risk-taking in social, economic and political activities; as well as the reward for these activities differ. Income inequality poses a societal problem because there is no market delineation among the various classes of income-earners. Globally, the highest concentration of wealth is usually with a small percentage of the population, and these group of persons influence the prices of goods and services upward. The reverse is the case with the majority of the population with meagre income. The disparity between the highest income group

and the lowest income groups is one determinant of the how rich a country is, also known as poverty index. The average measurement of the income gap is usually by the Gini coefficient, which ranges between 1 and 0. Income inequality, also known as income gap in the USA, has been so pronounced that between 1979 and 2021, the average income of the richest 0.01 percent of income earners increased by about 27 times faster than the income of the bottom 20 percent of income earners (Congressional Budget Office, 2023). In the UK, 50% of the population hold less than 5% of wealth in 2021, and the top 10% a has 57% The top 1% alone held 23% (World Inequality Lab, 2022). Income inequality is highest in Maldive, while Denmark,

Iceland, and the Czech Republic have the lowest income inequality rate among OECD countries.

In Africa, the highest 10% of income earners control not less than 70% share of the continent's income, while the bottom 50% hold an insignificantly smaller portion of less than 10% (Chancel et al, 2023). Income inequality is most pronounced in the southern part of Africa with Gini coefficient hovering between 58 and 68 (World Inequality Lab, 2022).

Income inequality in Nigeria is among the highest in the world. By 2022, Nigeria ranked 100 out of 163 countries' rating. It is glaring that the gini coefficient of Nigeria worsened with the deepening economic fortunes of most households. The average income controlled by the highest 20% and that of the poorest 20% of the income earners are 47% and 7% respectively. This disparity has been the reason for the social agitations, abuse of power and position, perpetration of corrupt practices, rise in unemployment, and persistent tax evasion.

One way to reduce the disparity between the richest and the poorest is the imposition of various forms of tax. Generally, taxation serves as the surest source of public funds with the main objectives of revenue generation, income redistribution, economic stabilization, and the promotion of economic growth and development in Nigeria. The Nigerian tax system has evolved over time, reflecting changes in the country's economic, social, and political landscape. The primary objective of tax policies in Nigeria is to generate revenue to finance public goods and services, such as education, healthcare, infrastructure, and social welfare programs. Taxation, in Nigeria, also aims to reduce income inequality and promote a more equitable distribution and redistribution of wealth. Progressive taxation, where higher-income earners pay a higher percentage of their income in taxes, can help redistribute income from the wealthy to the poor through government spending on social welfare programs (Alm & Martinez-Vazquez, 2003; Ogbonna, 2017). The Nigerian tax system comprises of various forms of taxes, including personal income tax, corporate income tax, and value-added tax, petroleum profit tax among others. Each tax type has a different impact on income distribution. Although literature has shown that taxation is used to redistribute income in a bid to reduce income gap, there may not be a practical study to justify this theoretical assertion, given the economic situations and disposable incomes of households, the rising costs or price of goods and services, and the distrust in the nexus

between taxation and the provision of social amenities and the protection of the welfare of citizens. The dearth of this practically empirical finding necessitates this current study.

Personal Income Tax is a direct tax levied on the income of individuals, sole proprietorships, and partnerships in Nigeria. Personal Income tax is a tax imposed on the income of individuals, sole proprietorships, and partnerships, including wages, salaries, profits, and other forms of income earned by residents and non-residents of Nigeria (PITA, 2004, as amended). Personal income tax is a progressive tax, meaning that the tax rate increases as an individual's income increases. Personal income tax is progressive, with tax rates ranging from 7% to 24% (Personal Income Tax Act, 2011). However, the effectiveness of personal income tax in addressing income inequality has been limited due to issues such as tax evasion and the large informal sector (Fajingbesi & Uadiale, 2014).

Petroleum Profit Tax (PPT) is a direct tax imposed on the profits generated from upstream oil and gas operations within Nigeria. Petroleum Profit Tax is a tax levied on the profits derived from the exploration, development, and production of petroleum or petroleum products within the country (PIA, 2021). Petroleum profit tax is applied on the chargeable profits of oil and gas companies, which include income from the sale of petroleum products, as well as any ancillary or incidental income, related to petroleum operations. The petroleum industry is a significant source of revenue for Nigeria. The Petroleum Industry Act (2004) governs the taxation of petroleum operations in the country. The Act imposes a tax on the profits of companies engaged in petroleum operations, with rates ranging from 50% to 85%, depending on the type of contract and the terrain in which the operations take place (Petroleum Profit Tax Act, 2004). This tax policy aims to ensure that Nigeria benefits from its vast petroleum resources.

Value added tax is an indirect tax levied on the consumption of goods and services in Nigeria. Value added tax is tax imposed on the value added to goods and services at each stage of the production and distribution chain (VATA, 2007, as amended). Value added tax is a consumption tax, meaning that the ultimate burden of the tax is borne by the final consumer of the goods and services, while businesses act as collecting agents on behalf of the government. Value added tax is a crucial component of Nigeria's tax system, levied on the value added to goods and services at each stage of production and distribution. As a consumption tax, value added tax plays a significant role in generating revenue for the government and influencing the country's

economic landscape. Value added tax in Nigeria, which is a consumption tax, is levied at a flat rate of 7.5% (Federal Inland Revenue Service, 2020). Value added tax is considered a regressive tax since it disproportionately affects lower-income individuals who spend a larger share of their income on consumption (Slemrod & Yitzhaki, 2002). Thus, the value added tax system might exacerbate income inequality in Nigeria. Income distribution refers to the way in which the total income of a nation is divided among its population. It is an essential aspect of understanding a country's economic well-being and social structure. Analyzing income distribution helps economists and policymakers identify patterns of inequality, poverty, and social mobility (Atkinson, 1975).

Income distribution in Nigeria is characterized by significant inequality, driven by factors such as regional disparities, oil wealth, unemployment, educational disparities, and a large informal sector. The consequences of this inequality include poverty, social unrest, hindered human development, and constrained economic growth. To address income inequality, policymakers should consider implementing redistribution policies, promoting education and skills development, generating employment, addressing regional disparities, managing natural resources equitably, and promoting financial inclusion. Key aspects of income distribution include: Absolute versus relative income, percentiles and quintiles, gini coefficient, lorenz curve, causes and consequences of income inequality. Absolute income refers to the actual amount of money earned by an individual or household, while relative income compares the income of one individual or household to others within the population (Atkinson, 1970). Income distribution is often analyzed by dividing the population into percentiles or quintiles based on income. This helps to identify the share of income received by different segments of the population and assess the degree of income inequality (Piketty & Saez, 2003). The Gini coefficient is a widely used measure of income inequality that ranges from 0 (perfect equality) to 1 (perfect inequality). A higher Gini coefficient indicates greater income inequality within a population (Gini, 1921). The Gini coefficient is a widely-used measure of income inequality within a country, ranging from 0 (perfect equality) to 1 (perfect inequality). In the context of Nigeria, the Gini coefficient represents the degree of income inequality among the country's population (Gini, 1921). The Lorenz curve is a graphical representation of income distribution, plotting the cumulative percentage of income earned by the cumulative percentage of the population. The greater the

deviation of the Lorenz curves from the line of perfect equality, the greater the income inequality (Lorenz, 1905). Factors contributing to income distribution and inequality may include education, skills, access to resources, labor market conditions, demographic factors, and government policies. The consequences of income inequality can range from reduced social cohesion and political stability to constrained economic growth and human development (Stiglitz, 2012). To improve income distribution in Nigeria, tax policy reforms should focus on strengthening tax administration, broadening the tax base, and making the tax system more progressive. Additionally, policies that promote inclusive growth and employment generation should complement the tax policy reforms (Oladipupo & Obazee, 2016). One of the major challenges facing Nigeria is income inequality, with a Gini coefficient of 0.35 as of 2020 (World Bank, 2021). The tax system in Nigeria has the potential to mitigate income inequality through progressive taxation, which would impose higher tax rates on individuals and businesses with higher incomes (Musgrave & Thin, 1948). Bridging the income inequality gap requires effective economic policies such as taxation (Lustig, 2017). According to Edo et al. (2020); Ezu and Okoh (2016) imposing taxes helps to generate funds utilized to provide social conveniences and guarantee proper condition for the financial prosperity of the general, thus, highlighting the redistributive effect. However, taxes could also have negative effect on the spending power of individuals and corporations, if not administered effectively (Edo et al., 2020). Tax enthusiasts have concentrated on possibilities of bridging uneven distribution of income and wealth, with emphasis on direct taxes. However, there still exists a wide gap between the rich and the poor, which questions the effectiveness of taxes in redistributing income. Therefore, the efficacy of taxes as an antidote for inequality appears to be a fairytale. Although, there are a handful of studies that have looked at the role of taxes as a medium for generating and redistributing income (Claus et al., 2012; Meadowcroft, 2007; Obaretin et al., 2017; Olusanya et al., 2012), nevertheless, a number of gaps were identified like methodology gap, time frame gap and the variables adopted in past studies is different from the current proxies adopted in this study. Thus, this study intends to investigate the impact of taxation and income redistribution in Nigeria

STATEMENT OF PROBLEM

The problems of income distribution in Nigeria are numerous and have been the subject of much debate among economists and policymakers.

One major issue is the concentration of wealth and income in the hands of small elite, while the majority of the population lives in poverty. This has led to social disorder and heightened unethical behaviour, as well as hindering economic growth and development. Income inequality in Nigeria is among the highest in the world, with the top 10% of the population holding over 40% of the country's wealth (World Bank, 2020). Despite being a resource-rich country, Nigeria has one of the highest poverty rates in the world. Over 40% of the population live below the poverty line, with many lacking access to basic necessities such as food, shelter, and healthcare (National Bureau of Statistics, 2020). The majority of the Nigerian population is employed in the informal sector, which is characterized by low wages, poor working conditions, and lack of social protection (ILO, 2021). This has led to a high level of income inequality, with many workers unable to earn a decent living income. Tax evasion and avoidance are significant problems in Nigeria, with many individuals and businesses failing to pay their fair share of taxes (Ogbonna & Okereke, 2020). This has led to a decline in government revenue and hindered the country's ability to finance public goods and services. To address these problems, tax policies have been introduced in Nigeria to promote a more equitable distribution of income and wealth. These policies include progressive taxation, where higher-income earners pay a higher percentage of their income in taxes, and the introduction of new taxes such as the value added tax and the petroleum profit tax. By generating revenue through taxation, the government can finance public goods and services and promote economic growth and development.

Several studies on income inequality has been conducted in Nigeria, but most of the studies like Abu (2024); Ugbede (2024); George-Anokwuru and Inimino(2024); and Nwosu (2019) used income inequality as the predictor variable. This current study uses income inequality as the criterion variable. Some other studies (Harmon, 2023); did not consider the effect of taxation as a cause of, and a militating factor against the phenomenon. There is a dearth of practical study on the use of taxation to redistribute income. This study attempts to evaluate this practical implication of taxation on income inequality in Nigeria.

In other to accomplish this task, the following hypotheses were formulated:

H₀₁: There is no significant effect of company income tax on gini coefficient in Nigeria

H₀₂: There is no significant effect of petroleum profit tax on gini coefficient in Nigeria

H₀₃: There is no significant effect of value added tax on gini coefficient in Nigeria.

CONCEPTUAL REVIEW

Tax Policies

Tax policies refer to the set of rules, regulations, and decisions made by governments to determine how taxes are collected and administered. They encompass a wide range of taxes, including income tax, corporate tax, value-added tax, excise taxes, property taxes, and other levies. Tax policies play a crucial role in shaping a country's fiscal and economic landscape, influencing income distribution, government revenue, and economic growth (Musgrave & Musgrave, 1989). Key aspects of tax policies include: Tax rates, tax base, tax exemptions and deductions, tax administration, international tax cooperation. Governments set tax rates to determine the proportion of income or the value of goods and services that should be paid as tax. Tax rates can be progressive (increasing as income or value increases), proportional (constant regardless of income or value), or regressive (decreasing as income or value increases) (Saez & Zucman, 2019). The tax base refers to the total value of economic activities or assets subject to taxation. A broad tax base allows for lower tax rates, while a narrow tax base may require higher tax rates to generate the same amount of revenue (Bird, 2012). Governments may grant tax exemptions, deductions, or credits to specific individuals, organizations, or economic activities to incentivize behavior, promote social welfare, or stimulate economic growth (Slemrod & Bakija, 2008). Efficient tax administration is essential to ensure compliance, minimize evasion, and optimize revenue collection. This includes developing effective procedures for tax assessment, collection, enforcement, and dispute resolution (Fjeldstad & Moore, 2009). With increasing globalization, countries need to coordinate tax policies to prevent tax evasion, minimize tax competition, and address issues arising from cross-border transactions and investments (Zucman, 2015). Tax policies also serve other objectives, including income redistribution, economic stabilization, and the promotion of economic growth and development. Generating revenue is the most fundamental objective of tax policies in Nigeria. Taxes are a crucial source of funds that enable the government to finance its expenditure, providing essential public goods and services to the

citizens. By generating revenue through taxation, the government can fund its operations and invest in the economy, thereby contributing to the overall development of the country. However, tax policies also serve other objectives. Progressive taxation, where higher-income earners pay a higher percentage of their income in taxes, can help reduce income inequality and promote a more equitable distribution of wealth. Fiscal policy, including taxation, can also be used to manage inflation, maintain employment levels, and stabilize the business cycle, thereby contributing to economic stability. Finally, tax policies can create incentives for businesses and individuals to invest in productive activities, ultimately contributing to the overall growth and development of the Nigerian economy.

While these policies are designed to generate revenue for the government, support economic growth, and address income inequality, their effectiveness is often limited due to issues such as tax evasion, a large informal sector, and regressive tax structures. To improve the effectiveness and fairness of Nigeria's tax system, policymakers should consider strengthening tax administration, broadening the tax base, and implementing progressive tax reforms. Tax policies refer to the set of rules, regulations, and decisions made by governments to determine how taxes are collected and administered. They encompass a wide range of taxes, including income tax, corporate tax, value-added tax, excise taxes, property taxes, and other levies. Tax policies play a crucial role in shaping a country's fiscal and economic landscape, influencing income distribution, government revenue, and economic growth (Musgrave & Musgrave, 1989). Key aspects of tax policies include: Tax rates, tax base, tax exemptions and deductions, tax administration, international tax cooperation. Governments set tax rates to determine the proportion of income or the value of goods and services that should be paid as tax. Tax rates can be progressive (increasing as income or value increases), proportional (constant regardless of income or value), or regressive (decreasing as income or value increases) (Saez & Zucman, 2019). The tax base refers to the total value of economic activities or assets subject to taxation. A broad tax base allows for lower tax rates, while a narrow tax base may require higher tax rates to generate the same amount of revenue (Bird, 2012). Governments may grant tax exemptions, deductions, or credits to specific individuals, organizations, or economic activities to incentivize behavior, promote social welfare, or stimulate economic growth (Slemrod & Bakija, 2008). Efficient tax administration is essential to ensure compliance, minimize evasion, and

optimize revenue collection. This includes developing effective procedures for tax assessment, collection, enforcement, and dispute resolution (Fjeldstad & Moore, 2009). With increasing globalization, countries need to coordinate tax policies to prevent tax evasion, minimize tax competition, and address issues arising from cross-border transactions and investments (Zucman, 2015). Nigerian tax policies over the years have led to various taxes in Nigeria such as company income tax, personal income tax, value added tax, petroleum profit tax etc.

Company income tax is tax imposed on the profits of companies or corporations operating within the country. Company income tax is applied to a company's taxable profits, which include profits from its business activities, investments, and capital gains (CITA, 2004, as amended). Company income tax is a key component of Nigeria's tax system, applicable to the income and profits generated by registered companies operating within the country.

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Certain income types are exempt from company income tax, such as dividends, interest, rents, and royalties received from other companies subject to tax under company income tax act (CITA, 2004, as amended). The Nigerian government offers various tax incentives to encourage investment in certain sectors, promote industrial development, and foster economic growth. These incentives include tax holidays, accelerated depreciation allowances, and investment tax credits for sectors such as agriculture, manufacturing, and solid minerals (National Tax Policy, 2017). The Nigerian Export Processing Zones Act (1992) and the Oil and Gas Export Free Zone Act (1996) also provide tax incentives for companies operating within designated export processing and oil and gas free zones. Company income tax administration involves assessment, collection, and enforcement of the tax by the FIRS. Companies are required to file annual tax returns and pay their company income tax liabilities within six months of their accounting year-end (CITA, 2004, as amended). The FIRS has introduced electronic filing and payment systems to improve tax compliance, enhance efficiency, and minimize tax evasion (FIRS Establishment Act, 2007).

Personal Income Tax

Personal income tax is a direct tax levied on the income of individuals, sole proprietorships, and partnerships in Nigeria. Personal income tax in Nigeria refers to a tax imposed on the income of individuals, sole proprietorships, and partnerships, including wages, salaries, profits, and other forms of income earned by residents and non-residents of Nigeria (PITA, 2004, as amended). Personal income tax is a progressive tax, meaning that the tax rate increases as an individual's income increases. Personal income tax is a significant part of Nigeria's tax system, levied on the income of individuals, sole proprietors, and partnerships. Personal income tax plays a crucial role in generating revenue for the government and shaping the country's socioeconomic landscape. The Personal Income Tax Act (PITA), is the primary legislation governing personal income tax in Nigeria, enacted in 1993 and subsequently amended several times to reflect evolving economic and fiscal policy objectives (PITA, 2004, as amended). The administration of personal income tax is primarily the responsibility of the State Internal Revenue Service in each of Nigeria's 36 states and the Federal Capital Territory (FCT) (PITA, 2004, as amended). Nigeria employs a progressive tax rate structure for personal income tax, with rates ranging from 7% to 24%, depending on the individual's

taxable income. The taxable income is determined after accounting for certain exemptions and allowances. Tax rates increase as the taxable income rises, with the highest rate applied to taxable income exceeding NGN 3,200,000 per annum (PITA, 2004, as amended). Personal income tax is levied on the income of individuals derived from their employment, business activities, investments, and other sources. Certain income types are exempt from PIT, such as National Housing Fund contributions, life insurance premiums, and compensation for injuries or disabilities (PITA, 2004, as amended). The Nigerian personal income tax system provides various allowances and deductions to reduce the taxable income, including a consolidated relief allowance (CRA) equivalent to the higher of NGN 200,000 or 1% of gross income, plus 20% of gross income (PITA, 2004, as amended). Other deductions include pension contributions, contributions to the National Health Insurance Scheme, and gratuities (PITA, 2004, as amended). Personal income tax administration involves assessment, collection, and enforcement of the tax by the respective State internal revenue service. Individuals are required to file annual tax returns and pay their personal income tax liabilities by the end of the tax year (PITA, 2004, as amended). The Joint Tax Board, comprising representatives from the Federal Inland Revenue Service (FIRS) and State Internal Revenue Services, is responsible for promoting uniformity and harmonization in the administration of personal income tax across Nigeria (Joint Tax Board Act, 1998).

Value Added Tax

Value added tax is an indirect tax levied on the consumption of goods and services in Nigeria. Value Added Tax is tax imposed on the value added to goods and services at each stage of the production and distribution chain (VATA, 2007, as amended). Value added tax is a consumption tax, meaning that the ultimate burden of the tax is borne by the final consumer of the goods and services, while businesses act as collecting agents on behalf of the government. Value added tax is a crucial component of Nigeria's tax system, levied on the value added to goods and services at each stage of production and distribution. As a consumption tax, value added tax plays a significant role in generating revenue for the government and influencing the country's economic landscape. The Value Added Tax Act is the primary legislation governing Value added tax in Nigeria, enacted in 1993 and subsequently amended several times to reflect evolving economic and fiscal policy objectives (VATA,

2004, as amended). The Federal Inland Revenue Service is responsible for the administration of value added tax, as well as other federal taxes in Nigeria (FIRS Establishment Act, 2007). The standard value added tax rate in Nigeria is 7.5%, following an increase from 5% to 7.5% as part of the Finance Act 2019. This rate applies to the majority of goods and services, with some exceptions for specific categories, as discussed below (Finance Act, 2019). Value added tax is levied on the supply of goods and services, as well as on imports. However, certain goods and services are exempt from value added tax, including basic food items, medical services, educational services, books and newspapers, exports, and services rendered by community banks and mortgage institutions (VATA, 2004, as amended). The Finance Act 2019 further expanded the list of exempt items to include tuition fees for nursery, primary, and secondary education (Finance Act, 2019). Value added tax administration involves assessment, collection, and enforcement of the tax by the FIRS. Businesses that supply goods and services subject to value added tax must register with the FIRS, charge value added tax on their sales, and remit the collected value added tax to the tax authorities on a monthly basis (VATA, 2004, as amended). The FIRS has introduced electronic filing and payment systems to improve tax compliance, enhance efficiency, and minimize tax evasion (FIRS Establishment Act, 2007).

Petroleum Profit Tax

Petroleum profit tax is a direct tax imposed on the profits generated from upstream oil and gas operations within Nigeria. Petroleum profit tax is a tax levied on the profits derived from the exploration, development, and production of petroleum or petroleum products within the country (PPTA, 2004, as amended). Petroleum profit tax is applied to the chargeable profits of oil and gas companies, which include income from the sale of petroleum products, as well as any ancillary or incidental income related to petroleum operations. Petroleum profit tax is a significant component of Nigeria's tax system, levied on the profits generated from upstream oil and gas operations within the country. As a major oil-producing nation, Nigeria relies heavily on oil revenues, making petroleum profit tax an essential source of government income and a critical factor in the country's economic landscape. The petroleum profit tax act is the primary legislation governing petroleum profit tax in Nigeria, enacted in 1959 and subsequently amended several times to reflect evolving economic and fiscal policy objectives (PPTA, 2004, as amended). The Federal Inland Revenue Service is responsible for the administration of

petroleum profit tax, as well as other federal taxes in Nigeria (FIRS Establishment Act, 2007). The petroleum profit tax rate in Nigeria varies based on the nature of the petroleum operation, such as whether it involves a joint venture or a production sharing contract. The standard petroleum profit tax rate for joint ventures is 85% of chargeable profits, while for production sharing contracts, it is 50% of chargeable profits (PPTA, 2004, as amended). The Deep Offshore and Inland Basin Production Sharing Contracts Act (1999) provides a lower petroleum profit tax rate for deep offshore and inland basin operations. Petroleum profit tax is levied on the profits of petroleum operations, which include income from the sale of petroleum products, as well as any ancillary or incidental income related to petroleum operations. The tax base is determined after accounting for certain allowable deductions, such as operating costs, capital allowances, and royalties (PPTA, 2004, as amended). Petroleum profit tax administration involves assessment, collection, and enforcement of the tax by the FIRS. Oil companies are required to file annual tax returns and pay their petroleum profit tax liabilities within two months of their accounting year-end (PPTA, 2004, as amended). The FIRS has the authority to audit and investigate oil companies to ensure tax compliance and prevent tax evasion (FIRS Establishment Act, 2007).

Income Distribution

Income distribution refers to the way in which the total income of a nation is divided among its population. It is an essential aspect of understanding a country's economic well-being and social structure. Analyzing income distribution helps economists and policymakers identify patterns of inequality, poverty, and social mobility (Atkinson, 1975). Income distribution is a crucial aspect of understanding a nation's economic and social development. In Nigeria, income distribution has been characterized by significant inequality, with a Gini coefficient of 0.35 as of 2020 (World Bank, 2021). This essay will provide an exhaustive analysis of income distribution in Nigeria, focusing on factors contributing to inequality, the consequences of income inequality, and potential policy interventions. Citations and references will be provided for further reading. Factors Contributing to Income Inequality in Nigeria Regional Disparities: Oil wealth, unemployment and underemployment, educational disparities, informal sector. Nigeria is a geographically diverse country, and regional disparities contribute to income inequality. The northern regions of Nigeria have lower levels of economic development, education, and

healthcare compared to the southern regions, leading to income disparities (Aigbokhan, 2000). The oil industry is a significant contributor to Nigeria's economy, but the benefits of this resource have not been evenly distributed. The Niger Delta region, where most of the oil is produced, remains underdeveloped, and local communities often do not benefit from oil revenues (Iwayemi, et al., 2011). High levels of unemployment and underemployment contribute to income inequality in Nigeria. The unemployment rate in Nigeria was 33.3% as of 2020 (National Bureau of Statistics, 2021), leading to a substantial proportion of the population earning low or no income. Educational attainment is a significant determinant of income, and disparities in access to quality education contribute to income inequality in Nigeria (Izugbara & Ngilari, 2005). A large informal sector in Nigeria, estimated at 65% of the economy (International Labour Organization, 2018), contributes to income inequality by providing low and irregular incomes for many Nigerians. Consequences of Income Inequality in Nigeria: Poverty, social unrest, human development, economic growth. High levels of income inequality are associated with increased poverty rates. As of 2019, 40.1% of Nigerians were living in poverty (National Bureau of Statistics, 2020). Income inequality can lead to social unrest and political instability, as those in the lower income brackets may feel marginalized and disenfranchised (Adeola, 2005). Inequality in income distribution can hinder human development, limiting access to essential services such as healthcare and education for lower-income individuals (United Nations Development Programme, 2018). High levels of income inequality can constrain economic growth by limiting access to resources and opportunities for the majority of the population (Oxfam, 2017). Policy Interventions to Address Income Inequality in Nigeria: Redistribution policies, education and skills development, employment generation, financial inclusion, natural resource management, regional development. Implementing progressive tax policies and social welfare programs can help redistribute income and reduce inequality (Oladipupo & Obazee, 2016). Expanding access to quality education and skills training can help reduce income inequality by increasing the earning potential of lower-income individuals (World Bank, 2019). Policies that promote job creation, particularly in the formal sector, can help reduce income inequality by providing more stable and higher-paying employment opportunities (Akanbi, 2015). Addressing regional disparities through targeted investments in infrastructure, education, and healthcare can

help promote more equitable income distribution (Aigbokhan, 2000). Ensuring that revenues from natural resources, such as oil, are transparently and equitably distributed can help reduce income inequality (Iwayemi, et al., 2011). Expanding access to financial services for lower-income individuals can help reduce income inequality by enabling them to save, invest, and access credit for economic opportunities (Demirgüç-Kunt, et al., 2015).

Gini Coefficient

The Gini coefficient is a widely used measure of income inequality within a country, ranging from 0 (perfect equality) to 1 (perfect inequality). In the context of Nigeria, the Gini coefficient represents the degree of income inequality among the country's population (Gini, 1921). As Africa's most populous nation and largest economy, Nigeria faces significant challenges related to income distribution and poverty reduction. The Gini coefficient is calculated based on the Lorenz curve, which plots the cumulative share of a population's income against the cumulative share of the population. The coefficient is derived as the ratio of the area between the Lorenz curve and the line of perfect equality to the total area under the line of perfect equality (Gini, 1921). A higher Gini coefficient indicates greater income inequality within a country. Nigeria's Gini coefficient has varied over the years, reflecting changes in the country's income distribution patterns. According to the World Bank, Nigeria's Gini coefficient was 0.43 in 2010, indicating a relatively high level of income inequality. Factors contributing to Nigeria's income inequality include regional disparities, urban-rural divides, and the dominance of the oil sector in the economy (Aigbokhan, 2000; Ogwumike & Ozughalu, 2018). High income inequality, as indicated by Nigeria's Gini coefficient, has significant implications for the country's socioeconomic landscape. Inequality can hinder poverty reduction efforts, exacerbate social tensions, and contribute to political instability (Aigbokhan, 2000; Ogwumike & Ozughalu, 2018). Furthermore, high inequality can undermine economic growth by limiting access to education, healthcare, and other essential services for a significant portion of the population (World Bank, 2019). To address income inequality in Nigeria, the government has pursued various policies and strategies, including poverty reduction programs, social safety nets, and investments in education and healthcare. However, these efforts have had limited success in reducing the Gini coefficient due to challenges such as inadequate funding, poor targeting, and corruption (Ogwumike &

Ozughalu, 2018). The southern regions of Nigeria, particularly the Niger Delta, have experienced greater economic growth due to oil production, while the northern regions have lagged behind in terms of development and income generation (Aigbokhan, 2000; Ogwumike & Ozughalu, 2018). Urban areas, which have more diversified economies and better access to social services, also tend to have higher income levels compared to rural areas, where the majority of the population relies on subsistence agriculture (World Bank, 2019). The dominance of the oil sector in Nigeria's economy has contributed to the country's high Gini coefficient. Oil revenues account for a significant portion of government income, but the benefits have not been equitably distributed among the population due to corruption, rent-seeking, and a lack of investment in human capital and infrastructure (Aigbokhan, 2000; Ogwumike & Ozughalu, 2018). This has led to a situation where small elite reaps the benefits of the oil sector, while the majority of the population remains mired in poverty.

Empirical Review

Obaretin et al. (2017) completed an investigation at the connection among tax assessment and its utilization for income redistribution in Nigeria. The information utilized for this examination was taken from secondary sources, from the Federal Inland Revenue administration and the World Bank, utilizing data from 1981 to 2014. OLS technique was used to analyze the data; the result showed that the various alternatives to tax have no significant influence on income disparity with GINI being at five percent level. Also, it was found out that taxation has been utilized to the fullest, its role in re-distributing income in Nigeria.

Bird and Zolt (2014) also examined the role of PIT in redistributing income in developing nations. Though, they put forward 3 arguments opposing the use of PIT as a tool in income redistribution in emerging nations namely, opportunity costs, efficiency consideration and low-income base. An empirical study by Meadowcroft (2007) in the United Kingdom postulated that increased progressive tax leads to increased distributional effect of income, he enumerated that ten percent of high-income earners has before tax profit 28 times bigger than the pretax income of 10% of low-income earners, this decreased to five times after tax. Though, Meadowcroft (2007) argued this type of tax is unsuitable as it creates adverse effects for the economy and high taxed individual.

Ugondah and Amadi (2019) investigated the difference between taxation and income inequality. The research design employed was

the Quasi-experimental Design. Data for the study was analyzed using the Ordinary Least Square technique. The co-integration, unit root and error correction mechanism were also employed. The findings revealed that Company Income Tax has a positive relationship with income inequality while Petroleum Profit Tax, Personal Income Tax has a negative relationship with income inequality.

Anyaduba and Otulugbu (2019) investigated the impact of taxes on income inequality (GINI), explicitly; they determined the effect of value added tax, custom and excise duties, petroleum profit tax and company income tax on GINI in Nigeria from the year 1990 to 2016. The Cointegration and Error Correction Models were utilized to examine the variables. Augmented Dickey Fuller unit root was utilized to test for stationarity. They found that value added tax, custom and excise duties and petroleum profit tax had positive relationship with GINI when estimated at 5% critical level, however value added tax and CED were not significant. Company income tax fundamentally affected GINI. In light of the discoveries, they infer that company income tax alone was largely responsible for inequality. They consequently suggest that value added tax ought to be imposed on products services consumed by high income earners. The concern of the study is to find out if the relationship could exist.

Kaisa et al. (2019) examined the effect of tax on revenue and inequality. The fixed effects ordinary least square technique was employed to analyze the data derived from multiple countries in Africa and America. The study used high-quality macro data, and fixed country effect approach combined with instrumental variables. The results of the study showed that tax adoption has not automatically contributed to increased inequality on average. We find relatively clear proof, however, that where inequality is measured on the basis of disposable income, countries with taxes have experienced rises in inequality, while in countries where inequality is measured on the basis of consumption; inequality has not increased following tax adoption.

Companies income tax, which is levied at a flat rate of 30% on company profits (Companies Income Tax Act, 2007), may also have a limited effect on income distribution. While it is expected that a progressive corporate tax system would reduce income inequality, research has shown that corporate taxation can be shifted to workers in the form of lower wages or to consumers through higher prices, thereby limiting the intended redistributive effects (Arulampalam et al., 2012).

THEORETICAL REVIEW

Optimum Income Taxation Theory

A major development from the standpoint of the optimal tax mix was the seminal paper of Atkinson and Stiglitz's in 1976. The Atkinson-Stiglitz theorem was the starting point in optimal tax literature. These researchers measured the relationship between indirect and direct taxes in the achievement of equity and efficiency objectives. This theory in the view of Slemrod (1990) is the study of designing and implementing a tax that reduces inefficiency and distortion in the market under given economic constraints through pareto optimal moves. According to the Atkinson and Stiglitz theory, a country where individuals vary simply in their income levels, government can charge a general tax on income but where the utility function is different between all commodities and labour, the appropriate tax design needed not to utilize indirect taxation. Mirrlees (1971) explored the theory of optimum taxation in 1971; he discovered that an approximately income tax schedule with an administrative advantage is desired and that the income tax-mix is less useful means for decreasing inequalities. He further postulated that a complementary tax design should be devised to avoid the difficulties faced with income-tax. According to Martinez-Vazquez et al. (2011) the option of the direct-indirect tax mix is also expected to have significant effect in other areas of the economy, including variation in redistribution of income, macroeconomic stability and flows from foreign direct investment. This shows that an optimal tax-mix design should be a combination of an efficient and effective direct and indirect tax in any economy.

The Atkinson-Stiglitz theory argues that, under certain conditions, the most efficient and fair tax system does not need to rely on indirect taxes (like VAT or sales taxes). If individuals differ only by their income levels and have similar preferences for goods relative to labour, then a well-designed income tax alone can achieve the government's equity and efficiency goals. In other words, when people value goods in the same way, taxing income directly is enough, and adding extra taxes on specific goods only creates unnecessary distortions. The theory therefore highlights when and why governments can simplify their tax systems by focusing on direct taxation rather than a complex mix of direct and indirect taxes.

Equality Of Sacrifice Theory

This theory flows from the optimal tax theory; it was propounded by Arthur Cecil Pigou (1877-1959). It examined tax liability from the perspective of a compulsory levy imposed by the

state without quid pro quo benefits. This theory states that an individual must pay tax and that his relative share of tax burden is determined by the earning capacity of the citizen, meaning loss of equality (Bhartia, 2009). This, therefore, indicates that high-income earners should pay more than low-income earners. This theory is supported by both socialist and non-socialist thinkers because it is consistent with the concepts of equity and justice (Berg & Piacquadio, (2020). By this theory, equity in taxation (whether horizontal and vertical) means the assessment an individual's ability to pay before the imposition of the tax liability. The implication is that the disposable income will even out relative to the income earned.

Expediency Theory

This theory according to Ibadin and Oladipupo (2015) is rooted in the principle of economies, and it explains the efficiency, effectiveness and economies of the instrument of taxation. Ogbonna & Amah (2021) noted that every tax proposed must pass the assessment of practicality, and this test must be considered by the authorities in deciding a tax policy. The theory is based on a link between the state activities and the tax liability because it validates the imposing of taxes, the distribution of tax burden among citizens, and financing of government activities (Bhartia, 2004; Musgrave & Musgrave, 2004). This theory best explains the study in that taxation is a system that provides an effective and efficient set of policy instruments to governments. These policies are designed strategically, to remedy fiscal and social evils in the nation such as unemployment, corruption, regional disparities and income inequalities. This theory is adopted for this study because it captures all taxes and inequality.

RESEARCH METHODOLOGY

This study adopts ex-post facto research design. This study adopts secondary data method of data collection. Secondary data were obtained from Central Bank Statistical Bulletin, World Bank Statistical Report and Federal Inland Revenue Service Reports from 1980-2023. The independent variable of the study is tax policies proxies by company income tax value as stated in the annual abstract of national bureau of statistics and central banks statistical bulletin, petroleum profit tax value stated in the annual abstract of national bureau of statistics and central banks statistical bulletin, value added tax as stated in the annual abstract of national bureau of statistics and central banks statistical bulletin while the dependent variables of the study income redistribution measures by gini coefficient value stated in the annual abstract of

national bureau of statistics and world bank reports. The study adopts the use of ordinary least square regression, with the aid of Eviews 10 econometric statistical software.

Model Specification

$$ITD = f(TXP)$$

$$ITD = \alpha_0 - \alpha_1 TAX + \varepsilon_{it}$$

Functional Relationship

$$GIE = f(CIT, PPT, VAT)$$

$$GIE_{it} = \beta_0 + \beta_1 CIT_{it} + \beta_2 PPT_{it} + \beta_3 VAT_{it} + \varepsilon_{it}$$

Where

TXP	=	Tax Policies
ITD	=	Income Distribution
CIT	=	Company Income Tax
PPT	=	Petroleum Profit Tax
VAT	=	Value Added Tax
GIE	=	Gini Coefficient
$it_1 - it_4$	=	Slope
$\beta_1 - \beta_4$	=	Regression Coefficient
α	=	Regression Constant
ε_{it}	=	Error Term

DATA ANALYSIS AND PRESENTATION

Table 4.1: Views Output of Multiple Regression of Tax Policies and Income Distribution

Dependent Variable: GIE

Method: Least Squares

Date: 07/05/23 Time: 23:52

Sample: 1980 2019

Included observations: 168

Variable	Coefficient	Std. Error	t-Statistic	Prob.
C	-0.032809	0.010584	-3.099861	0.0023
CIT	0.004746	0.010682	0.444295	0.0474
PPT	0.038878	0.011073	3.510933	0.0006
VAT	1.342890	0.003923	342.2837	0.0000
R-squared	0.999960	Mean dependent var		0.446102
Adjusted R-squared	0.999959	S.D. dependent var		5.097569
S.E. of regression	0.032608	Akaike info criterion		-3.985011
Sum squared resid	0.174376	Schwarz criterion		-3.910631
Log likelihood	338.7410	Hannan-Quinn criter.		-3.954824
F-statistic	1360386.	Durbin-Watson stat		1.904696
Prob(F-statistic)	0.000000			

Table 4.1 shows the regression output of the joint effect of company income tax, petroleum profit tax and value added tax on gini coefficient in Nigeria. The regressed coefficient correlation result shows that company income tax associates positively with gini coefficient ($\beta_3 = 0.004742$), and petroleum profit tax ($\beta_2 = 0.038878$), and also positive with value added tax ($\beta_3 = 1.342890$). The probability values of the slope coefficient show that ($CIT = 0.0474 < 0.05$); ($PPT = 0.0006 < 0.05$); ($VAT = 0.000 < 0.05$). This implies that company income tax has a positive and statistically significant effect on gini coefficient in Nigeria. Petroleum profit tax results indicate positive and significant effect on gini coefficient in Nigeria. The result also revealed that value added tax shows positive and significant effect on gini coefficient in Nigeria at 0.05 significance

level since their p-value are less than 0.05 significance level as indicate in the result. The coefficient of determination, (R-squared) obtained is 0.99 (99%). The cumulative test of hypothesis using r-square to draw statistical inference about the explanatory variables employed in this regression equation, shows that 99% of the systematic variations in the dependent variable can be jointly predicted by all the independent variables, 1% was explained by unknown variable that were not included in the model. The value of the Durbin-Watson statistic is 1.904696, which is an indication that there is no present of serial correlation in the model. The overall significance of the model (F-statistic = 0.0000) is statistically significant at 5%.The probability value of the f-statistic test is 0.000000 which is less than 0.05. Hence, reject H_0 and accept H_1 Therefore we conclude that company income tax, petroleum profit and value

added tax has positive and significant joint effect on gini coefficient in Nigeria.

CONCLUSION AND RECOMMENDATIONS

The study investigated the effect of tax policies on income distribution in Nigeria. Tax policies have played a significant role in promoting a more equitable distribution of income in Nigeria. Government generate revenue through taxation to finance public goods and services, including education, healthcare, infrastructure, and social welfare programs, which are essential for reducing poverty and promoting economic growth and development. Tax policies such as company income tax, personal income tax, value added tax and the petroleum profit tax and efforts to combat tax evasion and avoidance have helped to address the problems of income distribution in Nigeria. The study concluded that tax policies have significant effect on income distribution in Nigeria. Company income tax has a positive and statistically significant relationship with gini coefficient in Nigeria. Petroleum profit tax results indicate positive and significant impact on gini coefficient in Nigeria. Value added tax shows positive and significant impact on gini coefficient in Nigeria. Therefore we conclude that company income tax, petroleum profit and value added tax has positive and significant impact jointly on gini coefficient in Nigeria. Based on the findings the study, the study recommends among others that; progressive taxation can help to reduce income inequality in Nigeria by levying higher tax rates on the wealthy and lower rates on the poor. This can be achieved by increasing the tax base, ensuring compliance, and implementing anti-avoidance measures. The government can provide tax incentives such as exemptions or credits to support low-income earners. Improving tax administration is crucial for improving income distribution in Nigeria by increasing compliance and revenue collection. This can be done through strengthening tax administration and governance, investing in human and technological resources, and enhancing the capacity of tax authorities to enforce tax laws and regulations. Government should improve tax education and awareness programs to promote voluntary tax compliance and reduce tax evasion.

Providing tax incentives for investment and job creation is important for promoting economic

growth and reducing poverty in Nigeria. This can be done through tax breaks or reduced tax rates for businesses that invest in the economy, create jobs, and contribute to the development of the country. Tax incentives can be provided for small and medium-sized enterprises to stimulate their growth and development. The government can use tax revenue to reduce poverty and promote social welfare in Nigeria by funding social safety nets such as cash transfers, social insurance programs, and public services. These programs provide essential support to low-income earners and vulnerable groups like women, children, and the elderly. Moreover, tax revenue can fund education, healthcare, and infrastructure development, which can support the country's development. A collaborative approach involving all stakeholders is necessary to ensure that tax policies promote income distribution in Nigeria. This can be achieved through a consultative process that involves the private sector, civil society organizations, and the public in policy development and implementation. Effective communication channels can be established to promote transparency and accountability. The government can promote income distribution in Nigeria by providing tax incentives for investment in the agriculture sector. This can be done by providing tax credits or exemptions for purchasing agricultural equipment or investing in agriculture-related infrastructure. Smallholder farmers can be supported by providing tax incentives such as tax breaks for purchasing seeds and fertilizers. To improve income distribution in Nigeria, the government can increase revenue collection by broadening the tax base. This can be done by expanding the tax net to include more individuals and businesses not currently paying taxes. Moreover, new taxes or increased tax rates can be introduced to generate more revenue. The government can improve income distribution in Nigeria by implementing tax reforms that address current challenges in the tax system. This can be done by simplifying tax laws and regulations, reducing compliance costs for taxpayers, and introducing new tax policies that support income redistribution. Transparency and accountability in tax administration can be promoted by publishing regular reports on tax revenue collection and expenditure.

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